



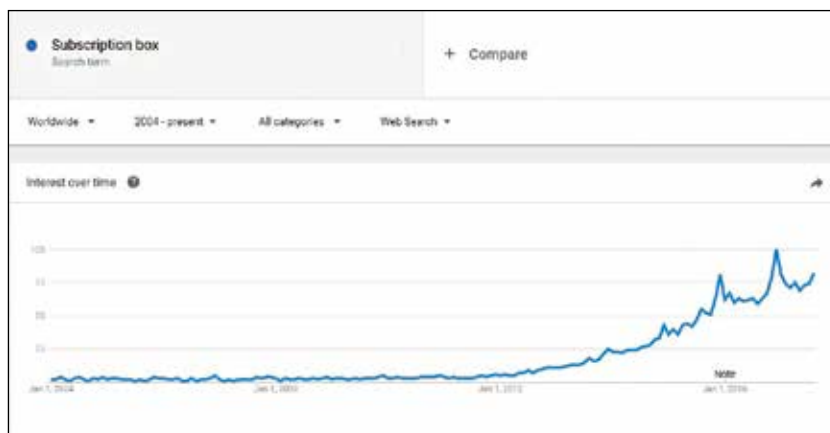
Tesla electric Semi-Truck

Tesla announced that its all-electric semi truck is coming soon. Reports suggests it will have a 300 miles of range. <http://dgit.in/TeslaTruck>



Landing flying cars

Airbus engineers are using lasers to teach flying cars to land. The major concern isn't taking flight, but landing. <http://dgit.in/LaserAirbus>



Interest in subscribing to products has been steadily increasing, and is showing a steep rise in demand of late

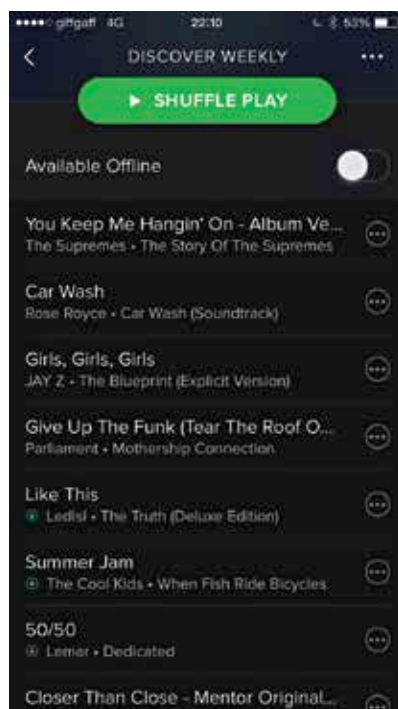
instance. General Electric offers jet engines on a subscription model - customers only pay for the time the jet engine is in the air. This happens with the help of thousands of sensors that are placed on each engine. Now, these same engines would cost a \$75 million approx upfront if they were purchased. A subscription model often helps a customer avoid the steep initial cost involved in an outright ownership deal. And of course, as shown in the Apple iPhone membership plans, there are additional benefits thrown in like regular servicing and warranty, the latest products at launch with minor additional costs and more. Overall, in 'buy' vs 'rent' (or subscribe), 'buy' is definitely losing right now.

BUT IS THIS REALLY ALL GOOD?

Not necessarily. Each of the points mentioned above can be looked at from a negative perspective as well. For instance, with regularised payments, the customer has less control over individual transactions and cannot stop a merchant from charging them without the specific 'unsubscribe' process. As a result, customers are unlikely to stop a service entirely due to a few instances of bad service, or might not be entirely aware of the charges being levied by the business.

Additionally, one of the main draws of the subscription model - curation - is also one of its main problems. As a customer keeps using a particular

subscription service, the service itself goes on to know the customer better and improve its recommendations. But, the recommendations originate from a pool of products/content/services, which gradually gets smaller as the service understands you better. This might reach a point where the service is showing you exactly what you need according to your previous actions. While this might sound like an absurd point to call a problem, think about it from a discovery



How much longer till your choice no longer exists?

point of view. Take news services for instance. If a news feed provider, like Facebook or Apple News, keeps offering you articles that you like to see or are interested in, are they really doing their job of keeping you informed? In fact, this is already happening.

Take another example in the form of content recommendation, or more specifically, music streaming. If you use a service like Spotify or Google Play Music, you might have experienced their discovery services. If you keep using this service, further recommendations from such a service would be based on previous recommendations that you listened to. Gradually, this might lead to the reduction of your role in the recommendations and at some point of time, your entire music taste might just be made up of what Google thinks you should listen to.

SHOPPING: THE AUTO-PILOT VERSION

We've talked about AI doing your shopping for you. While that is still in the distant future, we might just be preparing ourselves for a future like that with subscription models. The paradox of choice has been demonstrated time and again in our difficulty to make a decision when options are plenty. The subscription model solves that problem in the guise of curated offerings. With the number of choices our brain has to make everyday at every point, it is pretty natural that some kind of a 'choice fatigue' sets in, especially for everyday, routine objects. And with the increasing trust we have on 'curated recommendations' formulated from our own data, it's pretty natural to experience a sense of liberation by choosing subscription models over the buy-as-you-go model of shopping. Be it time, be it effort - and sometimes money - the truth is that the subscription model does save you a lot of hassle. Now, whether that time, money or effort is being redirected into something more useful, or just another round of 'Netflix and Chill', is entirely up to the current generation of consumers. 